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Case Number: 26NWCV01282 Hearing Date: August 6, 2026 Dept: P

AGB MANAGEMENT,

LLC v. FIRST CLASS ESCROW, INC., ET AL.

CASE NO.: 26NWCV01282

HEARING: 08/06/2026 @ 9:30 AM

#ADD-ON

TENTATIVE ORDER

I.

Defendants First Class Escrow, Inc. and

Angie Diaz's demurrer to the complaint is SUSTAINED with 30 days LEAVE TO AMEND.

II.

Defendants' motion to strike is MOOT.

Moving party to give notice.

Defendants First Class Escrow, Inc. (FCS) and Angie Diaz

(Diaz) (collectively, Defendants) demur to the complaint and move to strike portions of the complaint.

Background

On April 10, 2026, Plaintiff AGB Management, LLC (Plaintiff)

filed this breach of contract action and Defendant and Does 1 through 50. The complaint alleges that FCS, formerly known as La Costa Escrow, Inc., and Plaintiff entered into a written Management Services Agreement (Agreement) in November of 2024 in which AGB agreed to provide management, marketing, payroll accounting, administrative, compliance, and related services for FCS's escrow business.

(Complaint, ¶ 11.) Plaintiff also provided capital as part of its business arrangement. (Complaint, ¶ 15.) The complaint alleges that in March of 2025, Defendants unilaterally removed Plaintiff from operations, excluded Plaintiff from the business, and failed to reimburse Plaintiff in violation of the Agreement. (Complaint, ¶¶ 19-21.)

The complaint asserts seven causes of action against FCE and Does 1 through 20: (1) Breach of Written Contract; (2) Breach of the Implied Covenant of Good Faith and Fair Dealing; (3) Common Count – Money Had and Received; (4) Common Count – Open Book Account; (5) Accounting; (6) Declaratory Relief; and (7) Conversion against all Defendants.

On August 4, 2026, on the Court's own motion, the Court continued the hearings on the instant demurrer and motion to strike to today's date.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) In assessing a demurrer, the court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of law." (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) "The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action." (Hahn, supra, 147 Cal.App.4th at p. 747.) A complaint will be upheld against a demurrer if it pleads facts sufficient to place the defendant on notice of the issues sufficient to enable the defendant to prepare a defense. (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 549-50.)

Code of Civil Procedure

section 430.10, subdivision (f) provides for a demurrer when a pleading is uncertain. Demurrers for uncertainty are disfavored and are only sustained where a pleading is so incomprehensible a defendant cannot reasonably respond.

(A.J. Fistes v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695; Khoury v. Maly's of California (1993) 14 Cal.App.4th 612, 616.)

“Generally it is an abuse of discretion to sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment.” (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.) A “[p]laintiff must show in what manner he can amend his complaint and how that amendment will change the legal effect of his pleading.” (Ibid.)

Meet and Confer

Code of Civil Procedure section 430.41 requires that the demurring party meet and confer in person, by telephone, or by video conference at least five days before the responsive pleading is due. (Code Civ. Proc., § 430.41, subd. (a).) The demurring party shall file and serve a declaration stating either: (a) “The means by which the demurring party met and conferred...and that the parties did not reach an agreement” or (b) “[t]hat the party who filed the pleading subject to demurrer failed to respond to the meet and confer request of the demurring party or otherwise failed to meet and confer in good faith.” (Code Civ. Proc., § 430.41, subd. (a)(3).)

Defense counsel sent a meet and confer letter to Plaintiff's counsel but did not receive any response. (Coy Decl., ¶¶ 2-4.) Moving Defendants comply with the requirement. (Code Civ. Proc., § 430.41, subd. (a)(3).)

Discussion

FCE specially and generally demurs to each cause of action in the complaint on the grounds that the causes of action fail to state facts sufficient to constitute a cause of action. Moving Defendants specially and generally demur to the seventh cause of action on the grounds that it fails to state facts sufficient to constitute a cause of action. This demurrer is unopposed.

First

Cause of Action – Breach of Written Contract

To state a cause of action for breach of contract, Plaintiff must be able to establish “(1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiffs.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.) “A written contract may be pleaded either by its terms—set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference—or by its legal effect.” (Heritage Pacific Financial, LLC v. Monroy (2013) 215 Cal.App.4th 972, 993; Miles v. Deutsche Bank National Trust Co. (2015) 236 Cal.App.4th 394, 402.) “In order to plead a contract by its legal effect, plaintiff must ‘allege the substance of its relevant terms. This is more difficult, for it requires a careful analysis of the instrument, comprehensiveness in statement, and avoidance of legal conclusions.” (Heritage Pacific Financial, LLC, supra, 215 Cal.App.4th at p. 993.)

The complaint alleges Plaintiff and La Costa entered into the Agreement. (Complaint, ¶ 11.) Additionally, the complaint alleges FCE, “formerly known as LA COSTA ESCROW, INC. (“La Costa”...) is, and at all relevant times was, a California corporation engaged in the business of providing escrow services in California.” (Complaint, ¶ 2.) FCE argues that the complaint fails to establish a privity of contract and the allegation that FCE was formally known as La Costa is insufficient to allege privity. FCE argues that there are no allegations how La Costa allegedly “morphed into FCE,” assigned the Agreement to FCE, or under what circumstances did FCE assume La Costa’s privileges and obligations. (Dem., 9:5.) FCE refers to the factors in determining whether a purchaser assumed a seller’s liability and argues there are no supporting allegations here. (Ray v. Alad Corp. (1977) 19 Cal.3d 22, 28 [a “purchaser does not assume the seller’s liabilities unless (1) there is an express or implied agreement of assumption, (2) the transaction amounts to a consolidation or merger of the two corporations, (3) the purchasing corporation is a mere continuation of the seller, or (4) the transfer of assets to the purchaser is for the fraudulent purpose of escaping liability for the seller’s debts.”].)

The Court agrees with FCE that the complaint fails to allege FCE’s privity with Plaintiff or La Costa and thus its obligations under the Agreement. Further, as argued by FCE, the complaint does not provide a copy of the Agreement or put forth the terms verbatim. The complaint generally alleges

certain contractual terms. However, the Court does not find these allegations sufficient to allege the effect of the Agreement, especially in light of the deficiency in alleging FCE's obligations.

Accordingly, FCE's demurrer to the first cause of action is SUSTAINED with 30 days LEAVE TO AMEND.

Second Cause of Action – Breach
of the Implied Covenant of Good Faith and Fair Dealing

"A breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that bad faith implies unfair dealing rather than mistaken judgment." (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394.) "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated." (Id. at pp. 1394-95.) To recover in tort for breach of the implied covenant, the defendant must "have acted unreasonably or without proper cause." (Id. at p. 1395, citations and italics omitted.) Further, "because [the implied covenant] protects only the express terms of the agreement, [i]t cannot impose substantive duties or limits on the contracting parties beyond those incorporated in the specific terms of their agreement." (McClain v. Octagon Place, LLC (2008) 159 Cal.App.4th 784, 806.)

Here, as the Court finds that the complaint does not adequately allege the terms of the Agreement, the Court cannot discern whether the complaint alleges a breach of the implied covenant as to express terms of the Agreement. (McClain, supra, 159 Cal.App.4th at p. 806.)

Accordingly, FCE's demurrer to the second cause of action is SUSTAINED with 30 days LEAVE TO AMEND.

Third, Fourth, Fifth, &
Sixth Causes of Action – Common Count – Money Had and Received; Common Count – Open Book Account; Accounting; & Declaratory Relief

"A common count is not a specific cause of action...rather,

it is a simplified form of pleading normally used to aver the existence of various forms of monetary indebtedness, including that arising from an alleged duty to make restitution under an assumpsit theory.” (Korchemny v. Piterman (2021) 68 Cal.App.5th 1032, 1048.) “When a common count is used as an alternative way of seeking the same recovery demanded in a specific cause of action, and is based on the same facts, the common count is demurrable if the cause of action is demurrable. [Citations.]” (Id., at p. 1048-49, citations omitted.) “[A] cause of action for accounting need only state facts showing the existence of the relationship which requires an accounting and the statement that some balance is due the plaintiff.” (Kritzer v. Lancaster (1950) 96 Cal.App.2d 1, 7.)

“To qualify for declaratory relief, [a party] would have to demonstrate its action presented two essential elements: ‘(1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to [the party’s] rights or obligations.’” (Jolley v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 909.) “A trial court may...dismiss a declaratory relief claim at the demurrer stage where it is “ ‘wholly derivative’ ” of other failed claims.” (Siskiyou Hospital, Inc. v. County of Siskiyou (2025) 109 Cal.App.5th 14, 53.)

Here, as the third through sixth causes of action are derivative of the contractual claims and require allegations of FCE's obligations under the Agreement, the

Court finds that the complaint fails to state a cause of action as these claims.

Accordingly, FCE's demurrer to the third through sixth causes of action is SUSTAINED with 30 days LEAVE TO AMEND.

Seventh
Cause of Action – Conversion

“Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages.” (Lee v. Hanley (2015) 61 Cal.4th 1225, 1240.) “Money can be the subject of an action for conversion

if a specific sum capable of identification is involved.” (Farmers Ins. Exchange v. Zerlin (1997) 53 Cal.App.4th 445, 452.) “Neither legal title nor absolute ownership of the property is necessary. A party need only allege it is ‘entitled to immediate possession at the time of conversion. [Citations.]” (Ibid., citations omitted.) “[A] mere contractual right of payment, without more, will not suffice.” (Ibid.)

Moving Defendants demur to the seventh cause of action on the grounds that the complaint does not allege conversion of tangible property. The complaint alleges “[w]ithin the last two years, AGB owned and had the right to immediate possession of specific, identifiable funds and property, including but not limited to: (a) net profits generated by [FCE] during the term of the...Agreement that, by agreement and practice, were to be paid to AGB; and (b) funds and economic interests traceable to AGB's capital contributions and operational advances made for the acquisition and operation of the escrow business.” (Complaint, ¶ 48.) As the Court does not find the Agreement's terms to be sufficiently pled or amounts owing as to Moving Defendants, the Court agrees that the complaint does not sufficiently allege a specific sum capable of identification.

Accordingly, Moving Defendants' demurrer to the seventh cause of action is SUSTAINED with 30 days LEAVE TO AMEND.

While the Court sustains the demurrer as to sufficiency of allegations arguments, the Court does not find the complaint uncertain within the meaning of Code of Civil Procedure section 430.10, subdivision (f).

In conclusion, Moving Defendants' demurrer to the first through seventh causes of action is SUSTAINED with 30 days LEAVE TO AMEND.

Motion to Strike

Moving Defendants move to strike certain alter ego allegations and claims for punitive damages from the complaint.

Based on the Court's ruling on the demurrer, Moving Defendants' motion to strike is MOOT.